

1 ENGROSSED SENATE
2 BILL NO. 1447

By: Gollihare and Bullard of
the Senate

3 and

4 Marti of the House

5
6 An Act relating to the Oklahoma Employees Insurance
7 Plan; defining terms; requiring certain provisions to
8 be included in certain contract; prohibiting pharmacy
9 benefits manager (PBM) from changing drug placement
10 on a formulary without certain written authorization;
11 prohibiting PBM from prohibiting certain guarantees
12 of set pricing; prohibiting PBM from including
13 certain plan designs without certain impact analysis
14 and certain written approval of certain provisions by
15 state plan; prohibiting PBM from establishing certain
16 less favorable network terms; prohibiting
17 establishment of certain gag clauses by certain PBM;
18 prohibiting establishment of certain contract
19 provisions that create certain conditions that
20 exclude certain pharmacies without certain
21 justification; requiring PBM to disclose certain
22 affiliates or subcontractors prior to awarding of
23 certain contract; requiring certain rebates to be
24 passed through to state plan; construing provisions;
establishing certain determination of certain
guarantees; requiring PBM to maintain certain System
and Organization Controls (SOC) Type 2 certification;
requiring PBM to provide certain written impact
analysis prior to approval of changes to certain
contract provisions; requiring certain impact
analysis to include certain provisions; requiring PBM
to submit certain report including certain claim-
level reporting data; requiring certain report to
include certain provisions; allowing certain contract
proposal to be scored based on certain provisions;
providing for codification; and providing an
effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW

A new section of law to be codified

in the Oklahoma Statutes as Section 1330.1 of Title 74, unless there is created a duplication in numbering, reads as follows:

As used in this act:

1. "Affiliate" means any person or entity that controls, is controlled by, or is under common control with another person or entity;

2. "Affiliated pharmacy" means any pharmacy, mail pharmacy, specialty pharmacy, or pharmacy services provider that is owned, operated, managed, or controlled by a pharmacy benefits manager (PBM) or that otherwise shares profits or losses with the PBM or an affiliate through common ownership, management, or contractual arrangement;

3. "Control" means the possession of the power to direct or cause the direction of management and policies of a person or entity, whether through ownership of voting securities, by contract, or otherwise. Control shall be established if a person or entity owns, controls, or holds with power to vote, ten percent (10%) or more of the voting securities or other ownership interest of the other person or entity;

4. "Operation data" means all data and records generated, received, maintained, or derived in connection with the provision of PBM services to a state plan, including claims data, pricing files, payment and remittance data, adjudication edits, rejection and

1 reversal data, provider network files, pharmacy contracts and
2 amendments, audit records, formulary files, utilization management
3 outputs, communications affecting benefits, and any reports derived
4 from such data;

5 5. "Rebate" means any consideration or thing of value paid,
6 credited, earned, received, retained, or recovered from a
7 pharmaceutical manufacturer by a pharmacy benefits manager in
8 connection with the purchase, dispensing, coverage, placement,
9 administration, or utilization of a prescription drug or other
10 covered product for a person covered under the state plan,
11 regardless of how such consideration is characterized. Rebate
12 includes, but is not limited to, base rebates, formulary rebates,
13 incentive rebates, credits, price protection payments, market-share
14 incentives, promotional allowances, commissions, educational grants,
15 market-share utilization payments, drug pull-through programs,
16 implementation allowances, clinical detailing payments, rebate
17 submission fees, administrative fees, management fees, rebate
18 contracting fees, contract aggregation payments, and any other
19 similar payment or remuneration. Rebate does not include pharmacy
20 purchase discounts and related service fees attributable to or based
21 on the purchase of drugs by specialty drug pharmacies;

22 6. "Remuneration" means anything of value, whether in cash or
23 in kind, paid, transferred, or provided to or for the benefit of a
24 PBM, or any affiliate or subcontractor of such PBM, in connection

1 with a prescription drug product or pharmacy benefit including, but
2 not limited to, rebates, discounts, price concessions,
3 administrative fees, services fees, data fees, network access fees,
4 market share fees, formulary placement fees, inflationary or price
5 protection payments, coupon or co-pay offset payments, dispensing or
6 transaction fees, reconciliation payments, and any other payments in
7 cash or credit regardless of characterization;

8 7. "State plan" means the self-insured plan provided pursuant
9 to the Oklahoma Employees Insurance Plan;

10 8. "Subcontractor" means any person or entity, other than an
11 employee of the PBM that performs, delegates, supports, or
12 administers any PBM function including claims processing, network
13 administration, rebate contracting or aggregation, formulary or
14 utilization management, mail or specialty pharmacy services,
15 auditing, pricing services, or data hosting, analytics, reporting,
16 or transmission whether under a written or oral agreement;

17 9. "Total net cost" means, for a stated measurement period, the
18 sum of all amounts paid by the state plan for covered prescription
19 drugs including, but not limited to, all ingredient cost amounts,
20 dispensing fees, and any other amounts billed to the state plan and
21 all amounts paid by covered members for covered prescription drugs,
22 including co-payments, coinsurance, and deductible amounts, minus
23 all rebates and remuneration required to be passed through to the
24

1 state plan. Total net cost shall be calculated without regard to
2 the gross rebate volume or the list price of the drug; and

3 10. "Utilization management" means the same as defined in
4 Section 2562 of Title 63 of the Oklahoma Statutes.

5 SECTION 2. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 1330.2 of Title 74, unless there
7 is created a duplication in numbering, reads as follows:

8 A. Any pharmacy benefits manager (PBM) contract with a state
9 plan shall:

10 1. Declare state plan ownership of all plan-specific
11 operational data including, but not limited to, claims, pricing,
12 rebates, formulary, utilization management outputs, audit data, and
13 any such related reporting maintained by the PBM or any affiliate or
14 subcontractor of such PBM;

15 2. Provide that the state plan have broad audit rights and
16 shall determine designated auditors over any PBM and any affiliates
17 or subcontractors of such PBM to verify compliance with contract
18 provisions;

19 3. Establish network adequacy including rural access and
20 compliance with any applicable pharmacy choice and access rules
21 established by contract;

22 4. Provide that the state plan have exclusive authority over
23 formulary selection, tiering, preferred status, exclusions,
24 specialty designation, and utilization management of any provisions

1 of such contract. Nothing in this paragraph shall be construed to
2 prohibit the PBM from providing recommendations to the state plan
3 for formulary selection, tiering, preferred status, exclusions,
4 specialty designation, or utilization management; and

5 5. Offer for inclusion in such contract, at the election of the
6 state plan, one or more set pricing guarantee methodologies for
7 covered outpatient drugs including, but not limited to, National
8 Average Drug Acquisition Cost (NADAC) plus a dispensing fee, maximum
9 allowable cost (MAC) pricing, or any objectively verifiable
10 benchmark approved by the state plan.

11 B. No PBM shall:

12 1. Modify criteria, add restrictions, or change placement of
13 drugs on a formulary without written authorization by the state plan
14 to make such changes;

15 2. Restrict or prohibit the state plan from requiring or
16 negotiating set pricing guarantees;

17 3. Include any plan design or incentive to steer any members of
18 the state plan to a pharmacy affiliated with such PBM unless such
19 plan design or incentive is authorized in writing by the state plan
20 after submission of an impact analysis established pursuant to
21 subsection A of Section 3 of this act;

22 4. Establish network terms or reimbursement methodologies that
23 are less favorable to nonaffiliated pharmacies than to affiliated
24 pharmacies;

1 5. Establish gag clauses limiting the state plan's ability to
2 share contract terms, performance metrics, audit results, or cost
3 data with oversight entities, auditors, actuaries, or counsel. Any
4 contract terms shared pursuant to this paragraph shall be subject to
5 reasonable confidentiality; and

6 6. Establish contract provisions that create reimbursement or
7 network conditions that exclude specific pharmacies from the network
8 without documented and state plan-approved access and cost
9 justifications.

10 C. The PBM shall be required to disclose any affiliates or
11 subcontractors of such PBM to the state plan prior to the awarding
12 of a contract and shall disclose any additional affiliate or
13 subcontractor at no fewer than thirty (30) days after such affiliate
14 or subcontractor is associated with the PBM.

15 D. All rebates shall be passed through to the state plan and
16 shall be subject to audit by the state plan, including inspection of
17 manufacturer rebate contracts without redaction. Nothing in this
18 subsection shall be construed to require the pass-through of any
19 amounts authorized as fixed and separately stated administrative
20 fees to the state plan.

21 E. Any guarantees established by the contract between a PBM and
22 a state plan shall be determined by total net cost and access
23 outcomes and shall not be determined by rebate volume. Such
24 performance guarantees shall include clear remedies in the form of

1 credits payable by the plan for failure to comply with the
2 provisions of the contract.

3 F. A PBM shall:

4 1. Maintain System and Organization Controls (SOC) Type 2
5 certification for the duration of the contract with the state plan;
6 and

7 2. Provide to the state plan, all plan-specific operational
8 data and reporting in the form and medium prescribed by the plan
9 within the time frame established by the contract, or if not
10 specified, within five (5) business days of the state plan's request
11 for then existing data, and within thirty (30) days after the close
12 of each month for monthly files and reports. Such PBM shall not
13 withhold or delay such data or charge any amount except for the
14 fixed administrative fee for extraction, access, interfaces,
15 licensing, or delivery, including any fees imposed by affiliates or
16 subcontractors of such PBM, and shall remain responsible for
17 compliance even if such data is held or processed by such affiliate
18 or subcontractor.

19 SECTION 3. NEW LAW A new section of law to be codified
20 in the Oklahoma Statutes as Section 1330.3 of Title 74, unless there
21 is created a duplication in numbering, reads as follows:

22 A. The pharmacy benefits manager (PBM) shall provide a written
23 impact analysis to the state plan prior to the state plan approving
24 any change to contract provisions, formularies, utilization

1 management criteria, network design, reimbursement methodologies, or
2 any plan design or incentive pursuant to paragraph 3 of subsection B
3 of Section 2 of this act. No change shall be implemented unless the
4 state plan authorizes in writing such change. Such impact analysis
5 shall include at minimum:

- 6 1. The total number of members impacted by each proposed
7 change;
- 8 2. The total net plan cost impact of each proposed change;
- 9 3. The member out-of-pocket impact of each proposed change;
- 10 4. The state plan cost impact of each proposed change; and
- 11 5. The pharmacy access impact of each proposed change,
12 including rural access impacts.

13 B. The PBM shall submit an electronic report in a form and
14 medium prescribed by the state plan that shall include for each
15 prescription drug claim itemized, claim-level reporting data
16 sufficient to validate the following:

- 17 1. The date of dispensing;
- 18 2. The National Drug Code (NDC);
- 19 3. The drug quantity;
- 20 4. The number of days' supply;
- 21 5. The dispensing pharmacy identifier in the form of the
22 National Provider Identifier (NPI) and the National Council for
23 Prescription Drug Programs (NCPDP) Number;
- 24 6. If the dispensing pharmacy is affiliated with the PBM;

1 7. The final total payment received by the dispensing pharmacy
2 from all sources;

3 8. The ingredient cost paid to the dispensing pharmacy;

4 9. The final dispensing fee paid to the dispensing pharmacy;

5 10. Any post-adjudication fees, withholds, recoupments,
6 incentives, or other adjustments applied to the claim;

7 11. The total gross amount billed to the state plan for the
8 claim;

9 12. The total gross amount billed to the state plan for the
10 drug's ingredient cost;

11 13. The total gross amount billed to the state plan for the
12 dispensing fee;

13 14. The total net amount billed to the state plan for the
14 claim;

15 15. The total net amount billed to the state plan for the
16 drug's ingredient cost;

17 16. The total net amount billed to the state plan for the
18 dispensing fee; and

19 17. All other amounts charged in connection with the claim.

20 C. Any contract term in violation of the provisions of this act
21 shall be voidable and severable at the election of the state plan.
22 Any violation of the provisions of this act may constitute a
23 material breach and may be grounds for termination for cause, in
24 addition to any other remedies available under contract or law.

1 D. Any request for proposal for PBM services for the state plan
2 shall include:

- 3 1. Bidder certification of compliance;
- 4 2. A compliance narrative; and
- 5 3. Sample contract language demonstrating compliance with the
6 provisions of this act.

7 SECTION 4. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section 1330.4 of Title 74, unless there
9 is created a duplication in numbering, reads as follows:

10 In evaluating proposals for a contract between a pharmacy
11 benefits manager (PBM) and the state plan, the state plan may assign
12 favorable scoring or weighting to proposals based on factors in
13 addition to price including, but not limited to:

14 1. Accessibility and in-state presence, including the ability
15 of the PBM to provide regular in-person meetings with state
16 officials and the positive economic impact of the PBM's operations
17 within this state, including employment, investment, and other
18 economic activity within this state;

19 2. Compliance history, including the PBM's record of regulatory
20 actions, legal judgments, settlements, or enforcement actions
21 involving a state, self-insured plan, or governmental entity
22 relating to pharmacy reimbursement, claims processing, audit
23 practices, or other PBM business activities; and
24

3. Transparent pricing models, including the offering of a flat-fee-per-claim-processed model or a per-member-per-month administrative fee model that minimizes or eliminates spread pricing and other undisclosed revenue streams.

SECTION 5. This act shall become effective November 1, 2026.

Passed the Senate the 26th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the ____ day of _____,
2026.

Presiding Officer of the House
of Representatives